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# Eli Lilly's Profit Dented by Higher Costs

## Higher research and development costs blunt growth in sales of recently-approved drugs

By Austen Hufford

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Eli Lilly's profit decreased because of higher research and development costs and lower net gains on investments.

BLOOMBERG NEWS

Eli Lilly LLY **-0.13%** ▼ & Co. on Tuesday reported higher revenue, boosted by new drugs, but lower profit on higher costs.

Shares of Lilly, down 5.4% over the past three months, fell 2.8% to $75.40 as results missed expectations.

Chief Executive John Lechleiter said growth was led by recently-approved drugs. Recently released drugs, including diabetes treatment Trulicity and cancer drug Cyramza, helped increase volumes 4% in the quarter as realized prices fell 1%.

Still, profit decreased because of higher research and development costs and lower net gains on investments.

Sales of Humalog, one of Lilly's biggest products by revenue, fell 9% to $640.8 million as lower realized prices in the U.S. was partially offset by increased demand. Sales of blockbuster erectile-dysfunction drug Cialis increased 4% to $588.2 million as higher realized prices in the U.S. were partially offset by decreased volume abroad.

Sales in its animal-health division, which Lilly bought from Novartis AG for about $5.4 billion in 2014, fell 9% to $706.2 million. Earlier this month, Eli Lilly said it was buying Boehringer Ingelheim Vetmedica Inc.'s U.S. pet vaccines portfolio for $885 million in a move to grow its animal unit.

In all for the September quarter, Lilly reported a profit of $778 million, or 73 cents a share, down from $799.7 million a share, or 75 cents, a year prior. Excluding other items, earnings per share fell to 88 cents a share from $1.

Revenue grew 4.7% to $5.19 billion.

Analysts projected 96 cents in adjusted per-share profit on $5.28 billion in sales.

Lilly backed its adjusted earnings guidance for the year, expecting between $3.50 to $3.60 in per-share profits. Analysts polled by Thomson Reuters had expected $3.59.

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